This document is an authorized copy for the course Master in Management 2027 - Organizational Behavior - B taught by prof. Villamor, Isabel at IESE B.S.

DPON-16-E
November 2004

Self-Management: Self-Knowledge, Self-Control and Self-Esteem

Alberto Ribera

Interest in "self-management" has grown into much more than a passing fad[1]. It is quite some time now since Peter Drucker publicly proclaimed the need to make self-management a priority of management education: "I no longer teach the management of people at work, which was one of my important courses, because I no longer think that learning how to manage other people, especially subordinates, is the most important thing for executives to learn. I am teaching, above all, how to manage oneself."[2]

Self-Knowledge: The Foundation

A company's health[3] – starting with its first thermometer, the income statement – depends on the physical and mental health of its managers and owners. Although medicine has made great strides, people still fall ill, because the flu virus is always lying dormant, waiting to break out, while new, previously unknown illnesses keep appearing. Stress, burn-out, depression and personality disorders are new occupational hazards related to psychological and social factors; and they are becoming an increasingly serious problem at work. Narcissism, the search for instant gratification, and resistance to self-knowledge are like the flu which re-emerges each year as an epidemic. What's more, they re-emerge in new forms and variants.

Yet there is no cause for alarm, because – as the saying goes – a healthy person is a sick person who does not know he is sick. The worst thing, then, would be to be healthy. Acknowledging one's illness is the best guarantee of health.

[1] No more or less assiduous reader of academic or popular management literature will have been surprised to see that the *Harvard Business Review* published two monographic issues on the subject, in 1999 and 2004. In fact, self-management is a topic heading that recurs in almost every issue, introducing large numbers of articles by specialists in psychiatry or clinical psychology.

[2] *Training & Development*, September 1998. See also, "Managing Oneself", *Harvard Business Review*, March-April, 1999.

[3] de Geus, Arie, *The Living Company*, Harvard Business Press, 1997.

This technical note was prepared by Alberto Ribera, lecturer. November 2004.

Copyright © 2004 IESE. This translation copyright © 2005 IESE. To order copies contact IESE Publishing via www.iesepublishing.com. Alternatively, write to publishing@iese.edu or call +34 932 536 558.
No part of this publication may be reproduced, stored in a retrieval system, used in a spreadsheet, or transmitted in any form or by any means - electronic, mechanical, photocopying, recording, or otherwise - without the permission of IESE.

Last edited: 11/11/19

This document is an authorized copy for the course Master in Management 2027 - Organizational Behavior - B taught by prof. Villamor, Isabel at IESE B.S.

In his best-seller on emotional intelligence[4] which he followed up with other books and articles applying the concept to the business world, Daniel Goleman identified self-knowledge as the first constitutive element of emotional intelligence, the indispensable grounding for the other qualities encompassed under that heading: self-regulation (or self-control), self-motivation, empathy, and social skills.

More recently, Henry Mintzberg, professor of management at McGill University in Canada, wrote that the first step in a manager's development consists of "adopting a reflective mindset: managing the self. [...] These days, what managers desperately need is to stop and think, to step back and reflect thoughtfully on their experiences."[5]

And yet, most of the commercially successful self-help books and many of the intensive courses on personal and professional development that have become so popular are aimed at boosting self-esteem and self-confidence. Self-knowledge is hardly mentioned. An example are the books by the Argentinian psychiatrist Jorge Bucay[6], which have headed the bestseller lists in many countries in America and Europe. Bucay was by far the most frequently cited author in a survey of 60 or more second-year MBA students at IESE, carried out in November 2003, in which the students were asked what books they were reading at the time.

Yet those currently aged between 27 and 30 do not seem very different from the generation that preceded them. In fact, the extensive psychological, sociological and pedagogical literature about the "Me Generation" thronging university lecture halls in the 1980s could be applied equally well to those now aged 45 or 50 or more. That is the generation which today holds the key posts in organizations. The fact that narcissism – of a more or less pathological kind – should now be attracting attention among scholars of organizational behavior and the psychology of managerial action is thus hardly surprising[7].

One of the best attended sessions at the meeting of the World Economic Forum in Davos at the end of January 2004 was entitled "Me, Inc.". It was an interesting debate on narcissism in today's society, which nobody denied was a common trait among our contemporaries. The participants acknowledged the advantages that a desire to be admired and play a prominent role – which is one of the characteristics of the narcissistic personality – might have for the development of leadership qualities. But neither did they deny the dangerous consequences that may follow from pathologically narcissistic behavior. The numerous executives and politicians who have made headlines for all the wrong reasons in recent years are evidence enough[8].

The narcissist is an idolater, though not of himself, but of the idealized, untarnished image he has of himself. He has abundant self-esteem and remarkable self-confidence, but very little self-knowledge. Or rather, his self-esteem is overinflated, pathologically swollen by the gradiose idea of himself that he has created and that he nourishes with other people's acknowledgment of his

[4] "Emotional Intelligence", Bantam 1995.

[5] "The Five Minds of a Manager", *Harvard Business Review*, November 2003.

[6] Drawing on the Gestalt school of psychotherapy and using New Age vocabulary, Bucay gives priority to spontaneity over control, feeling over ratiocination, all-embracing "holistic" understanding over circumstantial analysis, intuition over logic. All this, it is suggested, will lead to self-awareness, though exactly how is never explained.

[7] For example, Michael Maccoby, "Narcissistic Leaders: The Incredible Pros, The Inevitable Cons", *Harvard Business Review*, February 2000.

[8] To cite just one example, there is the autobiography written by Jean Marie-Messier in 2000, two years before he was forced to resign as chairman and CEO of Vivendi Universal and relinquish his directorships in companies such as LVMH, BNP Paribas, Alcatel and the New York Stock Exchange. The autobiography was entitled *J6M*, where J stood for Jean, and 6M for Marie Messier Moi-Même Maitre du Monde (Myself, Master of the world).

This document is an authorized copy for the course Master in Management 2027 - Organizational Behavior - B taught by prof. Villamor, Isabel at IESE B.S.

success. He has an unrealistic opinion of his own importance and personal abilities, and is unaware of his own limitations and weaknesses. His appetite for grand enterprises is insatiable: he is bound by no civil or moral law, no accounting principle, no respect for others. He is a unique being with special rights.

His relations with others are filtered through a comparison from which he invariably emerges covered with the glory of being the best, the number one. In his need to feel admired, he surrounds himself with adulators or mediocre yes-men, whom he uses to serve his own interests. At first, he also has the support of people of real talent; before long, though, they are cast off as they dare to voice their dissent. Others abandon him once they realize how they have been manipulated. The narcissist is incapable of acknowledging and admitting his mistakes: anything bad that happens is invariably the fault of others. He reacts aggressively to criticism, which he cannot tolerate. Nor can he bear other people's achievements or good qualities, as they make him envious. Besides making other people suffer, he himself suffers, because he never feels sufficiently recognized: he always needs more admiration, like a drug to which he has become addicted.

By contrast, perhaps one of the best indicators of self-knowledge is a sense of humor, including self-critical humor. One of the least acknowledged but most important skills or abilities that a manager needs in order to succeed in his professional and personal life is the ability to laugh at himself, without taking his mistakes and failures (or his achievements) too seriously.

Self-Control: The Tool

As he himself has repeatedly acknowledged, Goleman's great merit in publishing *Emotional Intelligence* (1995), the book that made him famous, was that of making the research conducted by academics in various U.S. universities available to a wider audience and giving it practical application. Until then, that knowledge had been confined to the sphere of specialized psychological and pedagogical journals.

For instance, from Howard Gardner, a professor of the Faculty of Education at Harvard University, he borrowed his classification of types of intelligence[9]. In particular, he elaborated on Gardner's description of "interpersonal" and "intrapersonal" intelligence, the latter understood as the ability to construct an accurate and true image of oneself and use it to act effectively. Intrapersonal intelligence thus comprises three habits: self-knowledge, self-control and self-motivation. Interpersonal intelligence, on the other hand, includes empathy and social skills.

Similarly, Goleman drew public attention to the work carried out by Mischel and his associates in the 1970s[10]. Mischel's research involved an experiment with pre-school children aged four. The experimenter set the children a challenge by telling them, "I'm going to leave the room now, but I'll be back in twenty minutes or so. If you like, you can take a candy; but if you wait until I come back, I'll give you two." Some children were able to wait until the experimenter returned; others ate the candy a few seconds after the experimenter left the room.

The diagnostic potential of the way in which the children managed their impulses became clear twelve or fourteen years later, when Mischel followed up on his earlier research by finding out

[9] Gardner, Howard, Frames of Mind: The theory of multiple intelligences, Basic Books, 1983.

[10] Mischel, Walter, Yuichi Shoda and Philip K. Peake, "Predicting adolescent cognitive and self-regulatory competencies from preschool delay of gratification", in Developmental Psychology, 1990.

This document is an authorized copy for the course Master in Management 2027 - Master in Management 2027 - Organizational Behavior - B taught by prof. Villamor, Isabel at IESE B.S.

what had become of those same children, by then adolescents. The ones who had resisted the immediate reward were now more socially competent, more enterprising, and better able to cope with life's frustrations. They did not lose their calm or freeze up when put under pressure. They did not shun risks but faced them squarely, or even actively pursued them. They were self-confident, took the initiative, and were keen to embark on new ventures.

By contrast, the roughly one-third of the group who, as preschoolers, had eaten the candy displayed a different psychological profile twelve years later. As adolescents they were more fearful of social contact and risk in general, more obstinate, more indecisive, more susceptible to frustration, more inclined to negative self-judgment, more liable to withdraw or freeze in tense situations. They were distrustful, resentful, envious, and tended to react disproportionately and get drawn into arguments.

When the children were assessed on completion of their secondary education, the academic performance of the ones who had waited patiently was better than that of the ones who had given in to their impulses: the former group performed distinctly better (scoring an average of 210 points more in the SAT tests). That advantage did not come from a higher average IQ, but – according to the parents – was the result of work habits and character.

Much the same may occur as a consequence of the failure to develop personal habits of self-control or self-regulation of impulses, in particular the impulse to seek gratification. Several voices have warned of the dangers inherent in the tendency – currently widespread in the business world – to seek immediate or very short-term profit[11]. Some authors, talking about the current economic and business environment, have argued that the really new thing about the "New Economy" is the speed at which things happen, the increasing pace of every kind of process. Rather than a "New Economy", it might be better described as a "Now Economy", one that encourages expectations of results at the earliest opportunity, now rather than later.

For that reason, even for psychoanalysts – who belong to the school of psychiatry that gives most importance to the quest for pleasure – "sublimation" (the ability to give meaning), "altruism" (interest in cooperation and service), and "asceticism" (valuing sacrifice) are mechanisms of great therapeutic value. They enable the pleasure instinct to overcome the tendency to seek immediate satisfaction and acquire a capacity for longer-term enjoyment.

Self-Esteem: The (Dangerous) Lever

These results should not be taken to imply an inescapable, deterministic substratum. They do, however, confirm that habits acquired in early childhood create behavior patterns that significantly influence the development of personality. In other words, those habits do not determine personality, but they are conditioning factors.

Without overdramatizing these findings or making alarmist claims, it will come as no surprise that psychiatrists are starting to talk about a "syndrome of low resistance to frustration"[12]. At the same time, we have grown accustomed to seeing expressions such as "Ability to cope with high pressure", "Proven ability to work under pressure", "Good stress management skills" used to describe job requirements in advertisements for senior management positions.

[11] For example, Sennett, Richard, The Corrosion of Character, Norton, 1998; Warren, G. Bennis and Philip E. Slater, The Temporary Society: What is Happening to Business and Family Life in America under the Impact of Accelerating Change, Jossey-Bass, 1998; Berglas, Steven, Reclaiming the Fire, Random House, 2001.

[12] The term "resilience" is used to describe the ability to endure and adapt to adversity, especially emotional distress.

This document is an authorized copy for the course Master in Management 2027 - Master in Management 2027 - Organizational Behavior - B taught by prof. Villamor, Isabel at IESE B.S.

An emphasis on self-esteem, without an education for self-knowledge, leads in the short term to self-delusion. In the long term, however, it becomes untenable and the evidence forces itself on consciousness. The individual finds it impossible to keep on blaming others for the failures that are an inevitable part of life. The result is frustration. But the individual has not developed any other means of defense than to project the blame onto others. Accordingly, when that line of defense is no longer available, the frustration may become agression and be turned inward (depressive symptoms or clinical depression) or some other form of escape may be sought that may lead to seriously pathological behavior (drug abuse, sexual addictions, obsessive gambling, etc.).

Self-confidence is a very powerful lever in the performance of managerial or entrepreneurial tasks; like any lever, however, it also entails risks that may lead to collapse, or even death. The lever needs a solid and reliable foundation. A house cannot be built on sand. Twenty centuries ago, the ancient Greeks taught that the most difficult form of governance is self-governance. Not only is it the most difficult, it is also the most effective and the basis for any other kind of managerial activity.

For example, Pindar's recommendation to those of his pupils who were preparing themselves for future roles in government was: "Become who you are." Today's gurus of self-realization and creative spontaneity point us in a seemingly similar direction: "Be yourself." The underlying cultural assumptions, however, are radically different: The frontispiece of the temple of Apollo at Delphos offered an invitation to self-knowledge, "Know thyself", as an antidote to the proposals of the Sophists and the Cynics, who had a certain following but were relegated to the status of members of a sort of heretical sect.

In contrast – perhaps because, ingenuously, it has been taken as given – the predominant culture of the last few decades has not assigned the same priority to self-knowledge as a prerequisite for self-realization. We have no choice, therefore, but to harp on what seems self-evident, but is so much taken for granted that it has almost been forgotten. We need to get back to the obvious things, because all too often the most basic truths are overlooked or ignored; nor are they easily learned.

Neglect of that essentially philosophical premise may be one of the reasons for what happens in many companies, and even more significantly in the lives of their owners and managers.

In that respect, business schools would do well to pay more attention to anthropology and make it a part of their curriculum. That would be entirely consistent with the vision of those schools that seek to differentiate themselves through their conception of the company as a community of persons, with all that that entails, and in particular those that, as universities, are naturally more open to the benefits of interdisciplinary collaboration.